

Gratuity is one of the oldest employee-retention tools used by HR managers. It used to be one of the three major retirement benefits along with the Employees' Provident Fund and pension. The objective was to make it lucrative for an employee to stay in the company in the long-term and reap benefits. But unlike the retention bonuses that companies now offer to select employees, gratuity used to be for all employees in a company.

However, gratuity has lost favour over the years because job-hopping has become the norm. The average employee now changes jobs every 2-4 years. I myself changed 6 jobs in 15 years, before I settled down in my last job with IBM.

Patience is in short supply in this era of instant gratification. Youngsters today are more concerned with cash in hand than what they will receive after 10-20 years. They rarely think of long-term benefits and give no significance to benefits such as gratuity. 'Delayed Gratification' is not their cup of tea.

This can be a costly error in judgment. Even with a small increase in your basic salary, your gratuity corpus can become extremely large in the long-term. If someone starts his career at a basic salary of ₹30,000 and gets a nominal 10% increment every year, his gratuity at the end of 20 years will be ₹14.1 lacs. However, the Payment of Gratuity Act, 1972, places a cap of ₹10 lacs on the amount that a company has to pay as gratuity, although a company is free to give more if it wants to.

Here is how Gratuity amount is calculated for salaried professionals:
$$\text{Gratuity} = \text{Last Drawn Salary} \times 15/26 \times \text{No. of Years of Service}$$

Where

The ratio 15/26 represents 15 days out of 26 working days in a month

Last drawn salary = Basic Salary + Dearness Allowance
Years of Service are rounded down to the nearest full year.